The Price of Flexibility

What PMEs value, what employers weigh, and where they meet

Seonghoon Kim

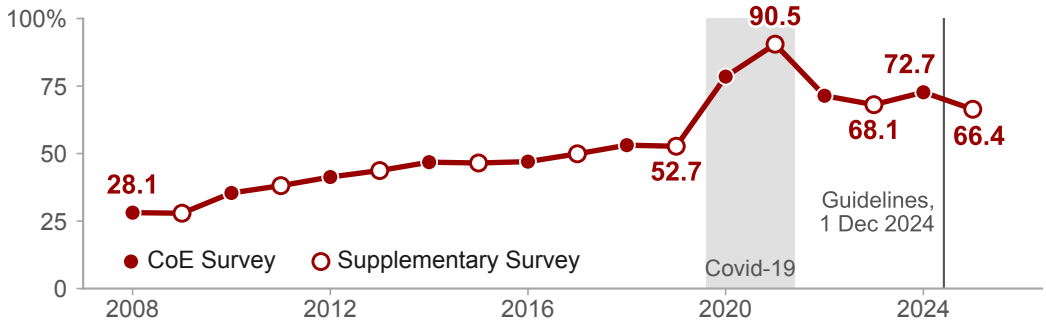
Singapore Management University

Joint work with the Singapore National Employers Federation (SNEF)

Preliminary findings for tripartite discussion | January 2027

Flexible work is mainstream; the policy problem is fit

Establishments (25+ staff, incl. public sector) offering a scheduled FWA, %



Aggregate provision does not show whether firms offer the arrangements workers value.

Source: MRSD, MOM (Jun 2026).

▸ Labour supply ▸ Guidelines

The open problem is fit, not whether a process exists

Arrangement fit

Aggregate provision masks which arrangements are available, and whether they fit the worker and the role.

Two sides, measured together

Worker value and employers' hiring reservations are rarely measured together.

Barriers

Career, information and redesign barriers can block mutually beneficial use.

Which arrangements create common ground, for which roles, and what blocks adoption?

▸ Guidelines ▸ Partners

Two-sided evidence remains limited

	What it measures	What it finds	What we add
Worker value	Pay given up for a WFH option	About 4–8% of pay; Singapore 4.8%	Seven arrangements, one design
Employer side	Employers' expected costs; quits in a trial	Poland: workers give up 2.9%, employers expect a 21% wage cut. Hybrid trial: quits fell by a third	Employers' hiring choices, mirrored with PMEs'
Singapore	Which firms offer FWAs	Provision is widespread	Both sides' choices, after the Guidelines took effect

References: Mas & Pallais 2017; Maestas et al. 2023; Aksoy et al. 2022; Lewandowski et al. 2023; Bloom et al. 2024; MRSD; Wang & Dong 2024.

▸ Benchmarks ▸ Trials

Three zones, three policy moves

Zone	PMEs give up	Employers require	Policy move
A **Common ground**	Some pay	About the same: no gap detected	→ **Make it easier to try**
B **Depends on the role**	Some pay	A larger cut; varies with the role's tasks	→ **Redesign and test by role**
C **Far apart**	More pay	A much larger cut	→ **Pilot before scaling**

Career signal · **redesign** · **information** can block use in any zone

▸ Methods ▸ Trials

Two surveys, unweighted online panels

1,020 PMEs

Singapore citizens and PRs in or seeking PME roles

Online panels, unweighted

Fielded 4–21 Aug 2026

397 employer respondents

People involved in PME hiring or manpower decisions

Online panel, unweighted

Fielded 12 Aug–2 Oct 2026

Employer respondents' firms, by staff size



Shares describe surveyed PMEs and firms, not national rates.

Sample

Mirrored choices on a common FWA menu

PMEs choose a job		Common menu	Employers choose a hire	
Job Offer A	**Job Offer B**		**Candidate A**	**Candidate B**
+10% vs own pay	**–10%** vs own pay	**Monthly pay**	**+10%** vs last PME hire	**–10%** vs last PME hire
Fully onsite	1–2 days WFH	**Work location**	Fully onsite	1–2 days WFH
Fixed hours	Compressed 4-day week	**Work schedule**	Fixed hours	Compressed 4-day week
Same in both: as in own job		**Everything else**	Same in both: as in own firm	

Two attributes differ in each choice; which ones, and their levels, are randomized.

▸ Choice cards ▸ Sample

How we turn choices into values

Illustrative choice task

Scenario 1 of 6

	Job Offer A	Job Offer B
Monthly pay	**+10%** vs own pay	**–10%** vs own pay
Work location	Fully onsite	1–2 days WFH
Work schedule	Fixed hours	Compressed 4-day week

Workload, Job security, Workplace culture, Commute time: same for A and B (your current job)

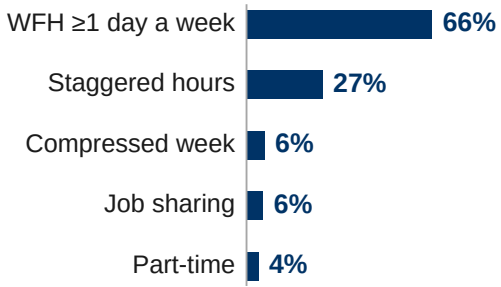
How values are calculated

1. Choose A or B, six times
2. Estimate how pay and each FWA shift choices
3. Translate it into the **% of pay** each side would give up or require (indicative)

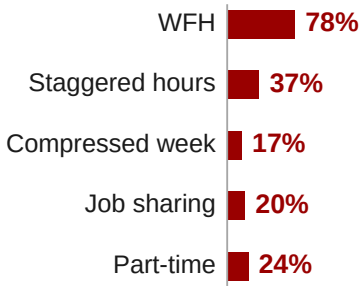
▸ Equations ▸ Validity

WFH is the common FWA; the others are used far less

Employed PMEs (n = 1,004)
% using each arrangement



Employers (n = 397)
% offering it to PMEs

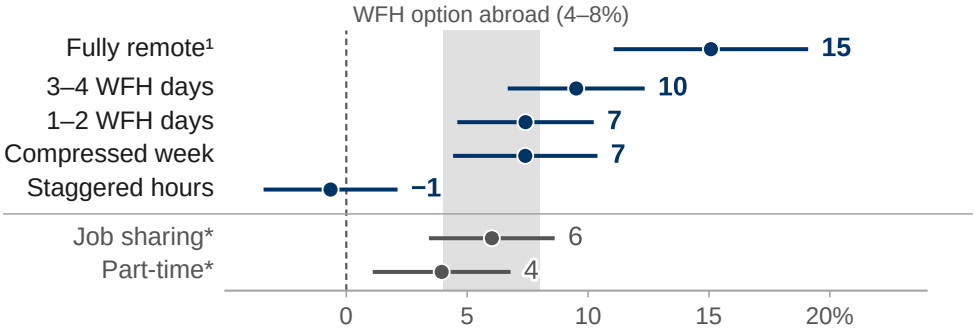


66% of employed PMEs use WFH and 27% staggered hours; compressed week, job sharing and part-time are each used by 4–6%.

Landscape Pathways

PMEs strongly prefer hybrid work

Pay PMEs would give up for each arrangement, % of monthly pay



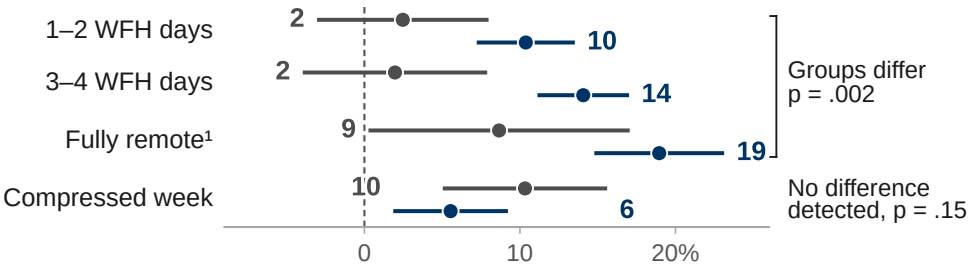
About 7–10% of pay for hybrid work: indicative, not a proposed pay cut.

* Hours change too, so not a price of flexibility. [1]Vs onsite with a long commute; includes the end of commuting.

▸ All estimates ▸ By commute

Career concerns track lower demand for WFH

Pay PMEs would give up, % of monthly pay



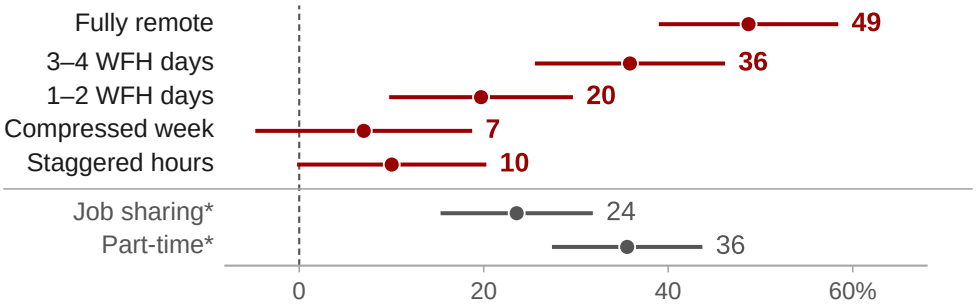
Consistent with a visibility concern; the career question was asked after the choices.

Penalty: expects flexible hours to hurt their career. [1]Vs onsite with a long commute; includes the end of commuting.

▸ All splits ▸ Career risk

Employers rank fully remote last in hiring

Pay cut employers would require for each arrangement, % of pay

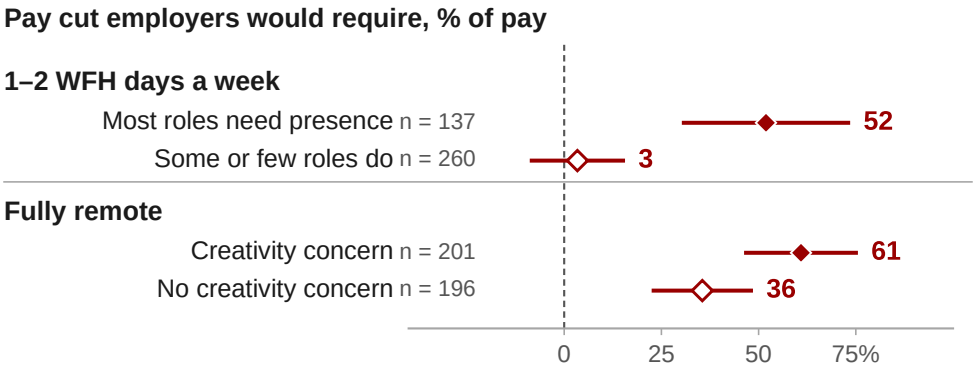


Read the ranking: fully remote work draws the largest cut.

* Hours change too. Cuts above 33% go beyond the pay gaps shown (17–33%).

All estimates | Salary lever

Employer reservations vary with role needs and concerns

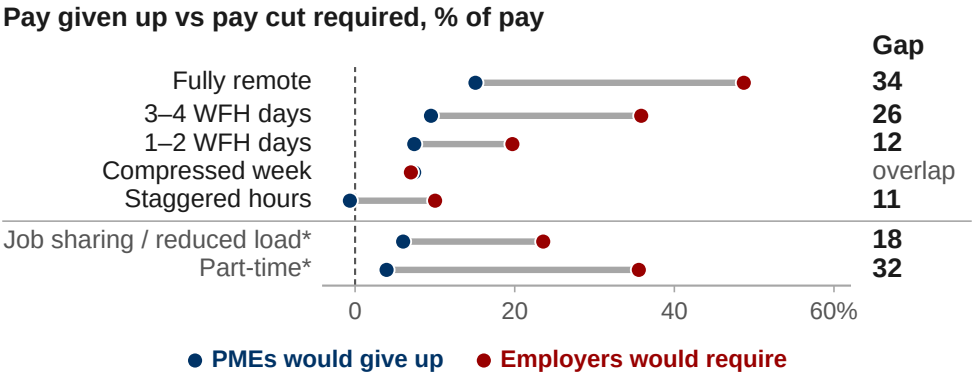


Preliminary associations (p = .02 and .14); both items were asked after the choices.

Filled: firms with the need or concern; hollow: other firms.

▸ Tests ▸ Concerns ▸ Employer view

The two sides' values meet only for the compressed week

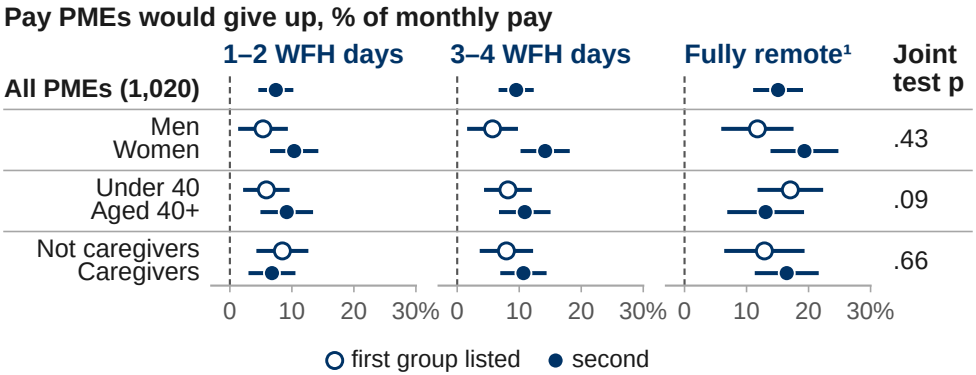


Compressed week: the most promising test; evidence moderate, operating costs unmeasured.

* Mostly pay for fewer hours. [1]Vs onsite with a long commute; includes the end of commuting. Employer cuts above 33% go beyond the pay gaps shown.

Gap table · Wording

No subgroup difference detected after correction



Non-rejection is not equivalence; groups may still differ.

p: joint test that all pay values are equal across the groups. None of 198 subgroup contrasts survives correction. [1] Vs onsite with a long commute; includes the end of commuting.

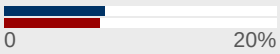
All groups All splits

The compressed week: valued, rarely offered

Both sides: about the same

7%

vs 7%

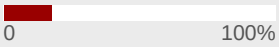


of pay: PMEs would give up vs employers would require

Few firms offer it

1 in 6

18%

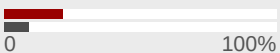


of surveyed firms offer it to PMEs

Goes with a written FWA policy

21.4%

vs 9.1%

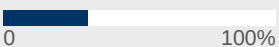


of firms with / without a written policy offer it

Take-up where available

1 in 3

31%



of PMEs with access use it

This supports a voluntary, evaluated pilot, not a claim that adoption is costless.

Where only one option had it, the compressed week was the cheaper one in 83% of PME and 91% of employer pairs.

Offering · Pilot checklist

We see outcomes for requesters, not why others do not ask

Not conditional on asking

Career concern

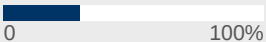
45%



of PMEs agree shorter or more flexible hours would hurt their career

Know the Guidelines

29%

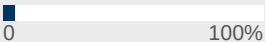


of junior PMEs are familiar with the Guidelines (all levels: 55%)

Reported requesters

Outright refusal

4%



of PMEs who report a formal request: a selected lower bound

Career concern covers all surveyed PMEs; refusals cover only reported requesters.

▸ Who expects ▸ Approvals

Rankings are more credible than levels

Check	Concern	Result
Pay outliers; 1% trim	Implausible pay	Arrangements: about 1 point or less, both sides
Same-side answers	Inattention	PMEs: about 1 point or less; employers: up to 3 points
Position term	Left-option bias	Arrangements: at most 2 points, both sides
Version clusters	Only 60 choice situations	Holds, except employer staggered hours ($p = .15$)
Rank pay model	How pay enters	Fits about as well on both sides; same ranking

Rankings hold; levels in % of pay are model-based (pay gaps were 17–33%).

▸ Validity ▸ Checks

What the evidence says about each zone

Zone	PMEs give up	Employers ask	Gap	Policy move
A **Common ground** Compressed week	7% of pay	7% of pay	None detected	**Voluntary, evaluated pilot (A)**
B **Depends on the role** 1–2 WFH days	7% of pay	20% of pay (52% where roles need presence)	12 points	**Review tasks by role; flexi-load (B)**
C **Far apart** 3–4 WFH days; fully remote	10% and 15% of pay	36% and 49% of pay	26 and 34 points	**3–4-day WFH pilot; test before scaling (C)**

Every zone: no request counts, and why PMEs do not ask is not in published data **(D)**

Gap = employers' required cut minus PMEs' accepted cut. Indicative: employer cuts above 33% go beyond the pay gaps shown.

▸ Trials abroad ▸ Offering

Options for the partners' decision

Decision today: one measurement step (we propose D) and one bounded, voluntary pilot (we propose A), each with a lead.

Option	Owner and first step	Evidence strength
A Pilot: put compressed weeks on the written menu and test them	SNEF and volunteer firms	Moderate
B Support: review which tasks need presence; flexi-load where hours, not location, matter	Firms; MOM (PTRG review)	Moderate
C Pilot: 3–4-day WFH pilot in roles without presence needs	Volunteer firms; independent evaluation	Exploratory
D Measure: why-not-request and partial-approval survey items	MRSD, with NTUC and SNEF	Gap documented

None requires a change to the Guidelines.

▸ Option A ▸ Survey items ▸ Pilot checklist

What we cannot yet say

Limit	What it means
Stated choices	Hypothetical offers; rankings are firmer than levels
Online panels	Unweighted; not national rates; no rank-and-file staff
Employer task	A hiring choice, not a staff request; operating costs unmeasured
Few design cells	60 choice situations per side; pay gaps 17–33%; larger employer cuts are extrapolated
Employer splits	Preliminary associations; asked after the choices
Request item	Partly misread; why PMEs do not ask is unmeasured

▸ All limits ▸ Next steps

The decision we ask of the partners

Decision sought today: one measurement step and one bounded, voluntary practice pilot, with a lead for each.

Take-away messages

1. PMEs strongly prefer hybrid work: the model implies **about 7–10% of pay** (indicative, not a pay cut)
2. Compressed week: **most promising common-ground test**; evidence moderate; operating costs unmeasured
3. Employers rank **fully remote last** in hiring: a ranking, not a salary price

We propose D (why-not and partial-approval items) and A (a compressed-week pilot).

▸ Follow-up ▸ Survey items

Thank you

Questions and discussion

Seonghoon Kim · Singapore Management University
Joint work with the Singapore National Employers Federation (SNEF)

▸ Backup index

Backup index: likely questions

Policy and practice

- Did the Guidelines change outcomes?
- Should FWA requests be legislated?
- Is this a burden for smaller firms?
- How would a compressed-week pilot run?
- Why do some PMEs not ask?
- What next, and with whose consent?

The evidence

- Is the career risk real?
- Are reservations about roles or concerns?
- Is the compressed-week result a design artefact?
- Can employer reservations be priced?

The study

- Do stated choices predict behaviour?

▸ Full backup index ◂ Conclusion ◂ Thank you

Full backup index

Motivation and question
Labour supply · Talent
Partners' evidence · Guidelines
Partner positions · Abroad

Framework
Evidence elsewhere · Zone rules
Validity of stated choices

Data and design
Sample · Industries
Governance · Choice cards
Pay gaps · Why not pay data

Method
Equations

Practice today
Landscape · Pathways

PMEs
All estimates · Commute
Benchmarks · All splits
By group · Access · Checks

Employers
Salary lever · Checks
Roles and concerns · Splits chart
Concerns · Own view; SMEs
No industry split

Where the sides meet
Raw choices · Compressed week
Pilot checklist · Flexi-load

Barriers
Who expects it · Career risk
On the Guidelines · Awareness
Approvals · Outcomes · Request rate

Limits and next steps
Limits · Next steps · Follow-up

Options
Option A B C D · D: items

Technical appendix
11 employer tests · Wording
Employer % of salary · Gap

PME groups
Gender · Age · Care
Role · Education

PME checks
Same-side · Trim

▸ Likely questions ◂ Thank you

Keeping people in work matters more

67.9%
resident participation, 2025 (fourth straight fall)

3.2 → 2.7
residents 20–64 per resident 65+, 2026 to 2030 (projected)

133,500 → 72,500
outside the labour force mainly to give care, 2019 to 2025

80.5%
female participation, ages 25–64 (2025)

< half
who needed part-time work got it (2024; COS 2026)

5.9% vs 13.7%
share of all women 25–64 in part-time work: Singapore (2025) vs OECD (2024)

Sources: MRSD Labour Force in Singapore 2025; Population in Brief 2026; MOM COS 2026; Labour Market Report 2Q 2026 (1.48 vacancies per unemployed person, Jun 2026). We survey PMEs in or seeking work, not carers outside the labour force. Checked 6 Oct 2026.

◂ Motivation

Backup index

Backup B3

What FWAs offer firms seeking talent

What we observe

- 52% of surveyed firms had difficulty filling PME roles last year
- 66% say FWAs help attract and retain talent; 26% plan to expand them
- PMEs value hybrid at $\approx$ 7–10% of pay, a compressed week $\approx$ 7% (indicative)
- Pay comes first: at 17–33% gaps, 3 in 4 chose the better-paid offer

Elsewhere

- Singapore: 65.9% of firms offering scheduled FWAs report better retention (employer-reported, mid-2024)
- A six-month hybrid trial abroad cut quits by one-third

What we cannot say

- Whether firms offering FWAs hire faster or keep staff longer

FWAs add to the reward package; not a basis for setting pay.

◂ Motivation ◂ Employers

Backup index

Backup B4

Partners' evidence and ours

Source	They found	We find
MOM, Working Conditions 2024	≈94% of requests approved; 18.5% ask formally	4% of PMEs' formal requests declined outright (a lower bound)
MOM, CoE 2024	Firms with scheduled FWAs report gains: engagement 69.5%, retention 65.9%, productivity 59.9%	66% of employers: FWAs help attract and retain talent
PAP Women's Wing–NTUC (2025)[a]	36% name stigma the main concern; 58% aware; 89% of formal applicants approved, fully or with changes	45% expect a career penalty; 83% aware (55% familiar); 96% of formal requests approved, fully or partly
SUSS×SNEF (2024)	81% felt prepared; 22% thought they must approve every request	58% of employers familiar; 36% more have heard of them

[a]Online, N = 1,508; sampling not published. MOM (PQ, 2026): ≈6% of FWA users report a 2025 career setback (experience, not expectation). Populations and questions differ: read as direction.

◂ Motivation ◂ Barriers

Backup index

Backup B5

The Guidelines: process, not outcome

1. Request
In writing by default

→ **2. Proper consideration**
On business needs

→ **3. Written decision**
Within 2 months; reasons if declined

In effect from 1 Dec 2024 for employees past probation. Cost, productivity and feasibility can be reasonable grounds to decline; custom or disbelief in FWAs cannot. TAFEP takes an educational approach, guiding employers to comply (MOM, 2026).

MOM indicators, 2024 data: not one funnel; definitions differ

84.5%
who needed a scheduled FWA got one they needed

≈ 94%
of requests approved; base not defined

18.5%
of those in need asked formally; 26.3% informally

Full-time residents aged 25–64, almost entirely before the Guidelines; MOM reads the gap as "frictions", not employer resistance. Firms need not report requests to MOM. Establishments (25+ staff) offering a scheduled FWA: 72.7% (Jun 2024), 66.4% (Jun 2025; another MOM survey; not attributed to the Guidelines).

Sources: Tripartite Guidelines (2024); MRSD (May and Jun 2026); MOM PQ replies (2025–26); COS 2026. Checked 6 Oct 2026.

◂ Question ◂ Motivation

Backup index

Backup B6

What each partner has said

- **MOM:** reads the need-request gap as “frictions … rather than employer resistance”; at COS 2026 called a proposal to make the Guidelines law, and FWAs a presumptive right for parents of young children, “too blunt”, as business needs differ by industry and role.
- **SNEF:** endorses the Guidelines on three principles: outcomes stay the employer’s prerogative; FWAs must not harm productivity or service quality; not every role suits every FWA. SUSS×SNEF (367 firms, 2024): 81% felt prepared.
- **NTUC:** FWA access is often the main consideration for caregivers, women and senior workers in staying in or returning to work. PAP Women’s Wing–NTUC survey (online, N = 1,508; sampling not published): 36% named stigma their primary concern in requesting an FWA (most cited).

Sources: MRSD (2026); MOM COS 2026 (3 Mar 2026); SNEF statement (23 Apr 2024); SUSS–SNEF (2025); MOM release (16 Apr 2024); PAP Women’s Wing, NTUC (Mar 2026).

◂ Question

Backup index

Backup B7

FWA request rules elsewhere

- **Singapore:** tripartite guidelines on the process, not the outcome; TAFEP takes an educational approach.
- **Great Britain:** statutory right to request from day one (since Apr 2024); decision within 2 months; refusal only on eight listed business reasons; a tribunal if a request is not handled reasonably, not merely if refused. Employment Rights Act 2025 changes due in 2027.
- **Australia:** eligible employees (e.g. parents, carers, 55+); written reply within 21 days; refusal only on reasonable business grounds; the Fair Work Commission can arbitrate and, as a last resort, order it granted. **New Zealand:** any employee; reply within 1 month; eight listed grounds; disputes cover process only. In both, most requests are informal.
- **Why guidelines here:** the Workgroup judged legislation risks an acrimonious workplace culture; at COS 2026, MOM called legislating the Guidelines, with a presumptive FWA right for parents of young children, too blunt.

Sources: MOM COS 2026, FAQ (Jun 2026); Workgroup report (2024); gov.uk/flexible-working; Fair Work Act 2009 ss65–65C; Employment Relations Act 2000 (NZ) Part 6AA. Checked 6 Oct 2026.

◂ Options ◂ Question

Backup index

Backup B8

Evidence elsewhere: concerns and trials

- **Poland, two-sided experiment:** workers give up 2.9% of pay for remote work; employers expect a 21% wage cut, mostly for lost productivity (Lewandowski et al., IZA DP 16041, 2023; hybrid and fully remote pooled). ILR Review (2026) version: gaps $\approx$5% (hybrid), 25% (fully remote).
- **Randomised hybrid trial** (two days a week; 1,612 graduates, one Chinese firm): quits fell by one-third over six months; over two years, reviews were unaffected and promotions showed no statistically significant difference; managers' productivity view: -2.6% to $+1.0\%$ (Bloom, Han & Liang, Nature 2024).
- **Singapore firms offering scheduled FWAs:** 69.5% report better engagement, 65.9% retention, 59.9% productivity (employer-reported, mid-2024; MRSD).
- **Fully remote:** evidence is mixed and job-dependent; several studies find lower productivity, partly reflecting who selects into remote jobs (Barrero, Bloom & Davis 2023; Emanuel & Harrington 2024).

Other settings; read as context. Trip.com trial: co-author James Liang co-founded and chairs Trip.com.

◂ Framework ◂ Discussion

Backup index

Backup B9

How the zones are set

Zone	Rule (gap = employers' cut minus PMEs' give-up)	Arrangements
A Common ground	Employers' required cut is about what PMEs would give up (7% and 7%); the gap is not distinguishable from zero	Compressed week
B Depends on the role	Gap about 12 points (CI 2 to 23); employers would require about 52% where most roles need presence, 3% where only some or few do	1–2 days WFH
C Far apart	Gaps of about 26 and 34 points; employers would require 36% and 49% of pay, PMEs would give up 10% and 15%	3–4 days WFH; fully remote
Little at stake	PMEs give up about 0; employers would require about 10% (not robust)	Staggered hours
Pay for hours	Fewer hours at the same pay; employer cuts ≈ pro-rata	Part-time; reduced load

Descriptive labels. Values in % of pay, indicative; employer cuts above 33% go beyond the pay gaps shown. Role split preliminary (p = .02), asked after the choices.

◂ Two sides ◂ Framework

Backup index

Backup B10

Do stated choices predict real choices?

Maestas et al. (AER 2023)	US workers, up to 3 years on: 977 of 1,738 (56%) matched; kept vs lost an amenity: +4.1 pp (1% level); gained: +1.7 pp (n.s.)
Wiswall & Zafar (QJE 2018)	NYU students, about 4 years on (59 working): 6 of 6 links to actual jobs with the expected sign, 3 significant at 5%; joint test of no link p = .012
Mas & Pallais (AER 2017)	Call-centre applicants: WFH 8.4% of pay, survey (reweighted to field commute times) vs 7.8%, field; scheduling 2.5% vs 2.8%
Hainmueller et al. (PNAS 2015)	Swiss voters: paired conjoint (best of 5 designs) within 2 pp of referendum effects on average (21 effects); levels missed (21% vs 37% rejection)
Health DCE meta-analyses	Opting in predicted well; opting out weakly (pooled specificity 34–52%)

- **Rankings hold best:** direction right and, in one direct test, relative size; our ranking is the firmest result.
- **Levels less so:** rates predicted less well, money values mixed; our % of pay values are indicative.
- **Our design:** one cross-section; pay gaps of 17–33% only; no link yet to behaviour.

No cited study validates employer hiring choices of this form; our follow-up addresses only part of that gap.

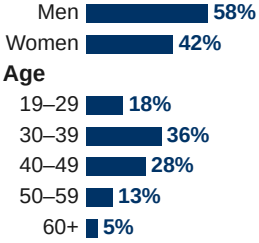
Maestas: split by amenity status; mean of 12 amenities.

◂ Estimation ◂ Robustness

Who answered

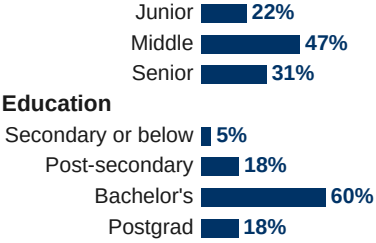
PMEs (n = 1,020)

Gender



Age

Role

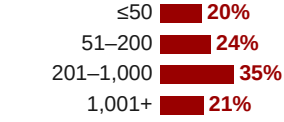


Education

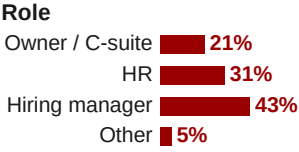
3 PMEs (0.3%) gave no gender.

Employers (n = 397)

Firm size (staff)

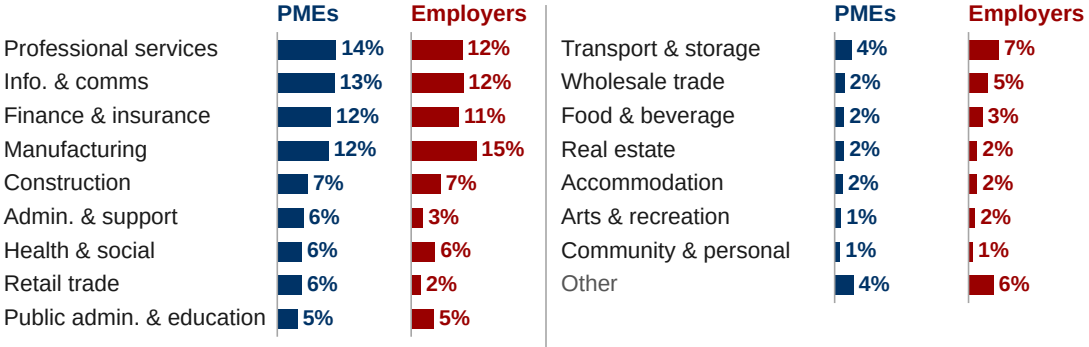


Role



Unweighted online panels.

Respondents span the main industries



% of each sample; sorted by PME share.

Employed PMEs (n = 1,004), employers (n = 397). Unweighted.

Data

Study governance

Item	Status
Ethics (SMU IRB)	Category 1, exempt from further review: IRB-26-069-E012(326), 19 Mar 2026
Partnership	Joint work with SNEF
Funding	**[PI to confirm]**
Survey and design roles	**[PI to confirm]**
Custody of identifiable data	**[PI to confirm]**
Custody of de-identified data	**[PI to confirm]**
Who ran the analysis	**[PI to confirm]**
Right to publish	**[PI to confirm]**
Partner delay or veto rights	**[PI to confirm]**

Both surveys told respondents that SNEF would use the results to inform workplace flexibility policy. Items marked [PI to confirm] need written agreement before external use.

◂ Data ◂ Conclusion

Backup index

Nearly the same cards on both sides

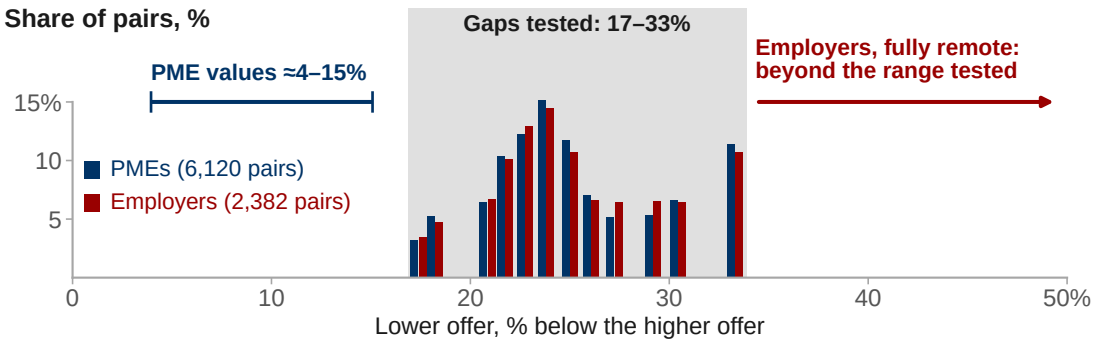
Attribute	PMEs (job offers)	Employers (candidates)
Salary	Own salary $\times$ multiplier	Latest PME-hire salary $\times$ multiplier
Location	Onsite; 1–2 WFH days a week; 3–4 days; fully remote	Same
Schedule	Fixed 9am–6pm; staggered; compressed 4-day week (same hours, longer days)	Same
Workload	Full-time (35–44 h); *job sharing (4 days)*; part-time ($<$35 h)	Full-time; *reduced load (4 days)*; part-time
Risk	Job loss (low / moderate / high)	Turnover (low $<$10% / moderate / high $>$20%)
Other	Culture; commute	Culture
Design	6 forced choices between 2 options; each pair differs in salary and two attributes, the rest held at the respondent's own practice. Multipliers 0.80–0.95 vs 1.05–1.20, closest pairs never drawn: every gap is 17–33%. 10 versions.	

Employers were told both candidates are equally qualified.

◂ Design

Backup index

Every pair differed in pay by 17–33%



Pay gap within each choice pair. PME values (≈ 4–15% of pay) lie below this band and the employer estimates for 3–4 WFH days, fully remote and part-time above it: both extrapolate beyond the gaps shown.

◂ Design ◂ Estimation

Backup index

Backup B16

Pay data cannot price flexibility

Current arrangement (vs onsite / full-time)	Observed pay difference, %	Value in the experiment, % of pay
1–2 days WFH	+37	≈7
3–4 days WFH	+36	≈10
Fully remote[1]	+42	≈15
Part-time	−53	≈4

Observed: log current pay on current arrangement, with job and personal controls (N = 991 employed PMEs). FWAs sit in better-paid jobs and part-time hours are fewer, so these differences are not prices.
[1] Experiment: vs onsite with a long commute. Grey = indicative.

Log salary on current arrangement, controlling for age, gender, education, residency; employed PMEs. It shows who has flexibility (FWAs sit in better-paid jobs), not its worth; the experiment isolates the trade-off.

◂ Design

Backup index

Backup B17

Equations and inference

$$U_{ijt} = \beta_w \ln w_{ijt} + \sum_k \beta_k x_{kijt} + \varepsilon_{ijt}$$

Conditional logit per side; SEs clustered by respondent.

Pay given up: $100\,[1 - \exp(-\beta_k/\beta_w)]$

For PMEs ($\beta_w > 0$), the pay they would give up for k; for employers ($\beta_w < 0$), the pay cut they would require of a candidate who wants k. Positive = a pay cut. Indicative: gaps shown were 17–33%, and a which-paid-more indicator fits about as well.

Gap: employers' cut − PMEs' give-up

Positive = friction. Its 95% interval combines both sides' delta-method standard errors (independent samples). Employer cuts above 33% go beyond the pay gaps shown, so gaps are indicative.

- **Tests:** 60 choice situations per side, so intervals may be too narrow. Benjamini–Hochberg by family: 198 PME contrasts, 7 PME mechanisms, 11 employer split tests.
- **Pay slopes:** group splits use a separate pay slope for each group. Employers' role and concern items were asked after the choices, so these splits are preliminary associations.
- **Checks:** without outliers, the top and bottom 1% of income or same-side respondents, or with a position term, PME values move $\leq$1.3 points and employer values $\leq$2.5. To fix: task-1 coding ($\approx$0.5 point, remote).

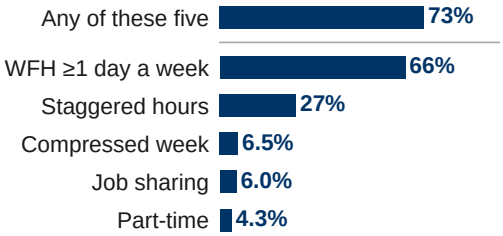
i respondent, j option, t task; w pay shown; x_k arrangement level k. McFadden (1974).

◂ Estimation ◂ Framework

Flexible work today: PMEs and firms

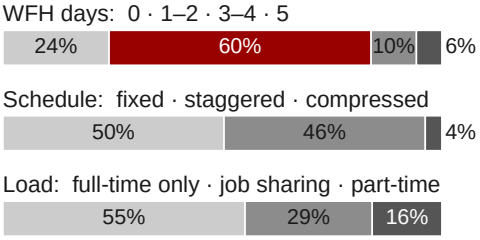
PMEs: current use

% of employed PMEs



Employers: typical PME arrangement

% of employers



Take-up: WFH 87% · staggered 69% · compressed 31% · job sharing 27% · part-time 26%
Take-up = % using it among those with access (available or used).

Shares describe surveyed PMEs and firms, not national rates.

Practice Puzzle

Backup index

Most FWAs come via policy or request

PMEs: how FWA was set up (N = 869)	%	Employers (N = 397)	%
Company-wide policy (automatic)	43	Written policy: all firms	70
Individual request	30	... 200 or fewer staff	63
Informal, with manager	18	... 201–1,000 staff	73
Negotiated in contract	5	... 1,001 or more staff	78
Don't know	5	... size test (p)	.027
		Got formal requests: with policy[1]	68
		... without policy	19

[1] Firms aware of the Guidelines.

PMEs with an FWA; employers' written policy by size, and requests received by policy.

◂ Practice ◂ Barriers

Backup index

Backup B20

All PME estimates, % of pay

Level (vs base)	% of pay	95% CI	Status
1–2 days WFH (onsite)	≈7	5–10	Direction robust
3–4 days WFH (onsite)	≈10	7–12	Direction robust
Fully remote (onsite, long commute)	≈15	11–19	≈12 vs moderate, ≈8 vs short commute
Staggered hours (fixed hours)	≈0	−3 to 2	Robust: about zero
Compressed week (fixed hours)	≈7	4–10	Direction robust
Job sharing (full-time)	≈6	3–9	Hours change: not a price
Part-time (full-time)	≈4	1–7	Hours change: not a price
Low job-loss risk (high)	≈5	0–10	*not robust*: ≈2 (n.s.) with position term; ≈9 excl. same-side
Collaborative culture (hierarchical)	≈10	5–14	Context: ≈7 with position term; one task only
Short commute (long commute)	≈8	3–13	Context only

Base level in brackets. N = 1,020. Magnitudes are model-based (pay gaps shown: 17–33%). Grey = indicative.

Indicative: pay gaps shown were 17–33%. Fully remote is vs a long commute; vs a moderate commute, ≈ 12% (commute).

◂ PMEs

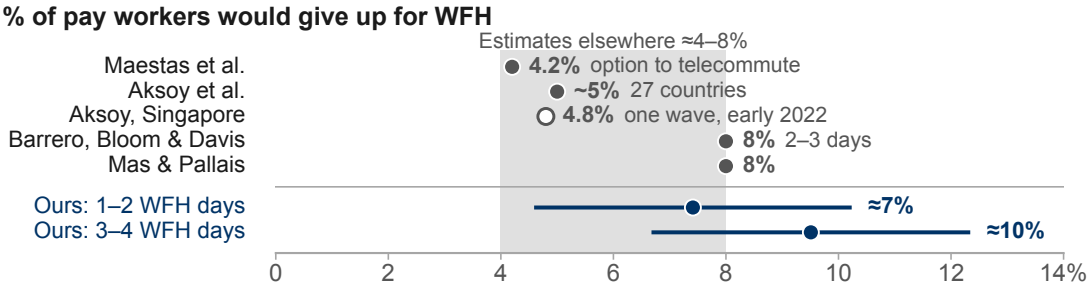
Fully remote valued against any commute

Fully remote vs . . .	**% of pay given up [95% CI]**
long commute (>45 min) (headline; the model's `3.place`)	15.1 [11.1, 19.1]
moderate commute (15–45 min)	12.2 [9.0, 15.5]
short commute (<15 min)	7.5 [2.9, 12.1]
each PME's own commute	12.7 [9.8, 15.6]
Own commute, by length	
45 min or less (n = 681)	11.0 [7.2, 14.9]
over 45 min (n = 305)	11.8 [6.9, 16.8]
Test of no difference	p = .80

Commute dummies apply to onsite jobs only (base: long); fully remote has none, so `3.place` is remote vs onsite with a long commute and includes the end of commuting. Employers saw no commute attribute. The other rows recombine the same logit coefficients (`3.place` less a commute dummy); own commute weights them by the commute each PME held in the design (short .037, moderate .729, long .233). Grey = indicative.

◂ PMEs

PME values at or above estimates abroad



Ours: indicative; lines = 95% CI. Poland, two-sided (IZA DP 2023; hybrid and remote pooled): workers give up 2.9%, employers expect a 21% wage cut.

Not like-for-like: populations, methods and definitions differ. Maestas et al. (AER 2023); Aksoy et al. (BPEA 2022); Barrero, Bloom & Davis (JEP 2023); Mas & Pallais (AER 2017); Lewandowski et al. (IZA DP 16041, 2023; ILR Review 2026: ≈ 5% hybrid, 25% fully remote).

◂ PMEs ◂ Literature

Backup index

Backup B23

PME splits: one survives correction

Split (A / B)	n	1–2 days	3–4 days	Remote[a]	Compr.	p	p compr.	q
Career penalty: y / n	455 / 565	2 / 10	2 / 14	9 / 19	10 / 6	.002	.15	.012
Commute $>$ / $\leq$45 min	305 / 681	6 / 8	10 / 8	11 / 22	6 / 8	.015	.54	.051
WFH now: y / n	666 / 338	9 / 5	12 / 5	19 / 10	8 / 6	.094	.50	.22
Pay $>$ / $\leq$S$6,000	408 / 435	8 / 7	11 / 10	17 / 13	9 / 6	.77	.33	.77
Public / local / MNC	171/383/412	8/9/7	6/11/9	21/15/14	7/7/8	.68	.93	.77
Tenure: 3+ / $<$3 years	805 / 199	7 / 6	9 / 12	15 / 15	7 / 8	.62	.69	.77
Mothers, child 0–6 / rest	108 / 912	11 / 7	17 / 9	21 / 14	7 / 7	.33	1.00	.58

Reading: only the career-concern split survives correction (location); about 40% of its gap could be choice noise, and it was asked after the choices.

% of pay given up, group A / group B. p: test that the three location values are equal across groups (group-specific pay slopes); p compr.: same for the compressed week; q: Benjamini–Hochberg over the splits. Compr. = compressed week. [a]Fully remote vs onsite with a long commute; includes the end of commuting.

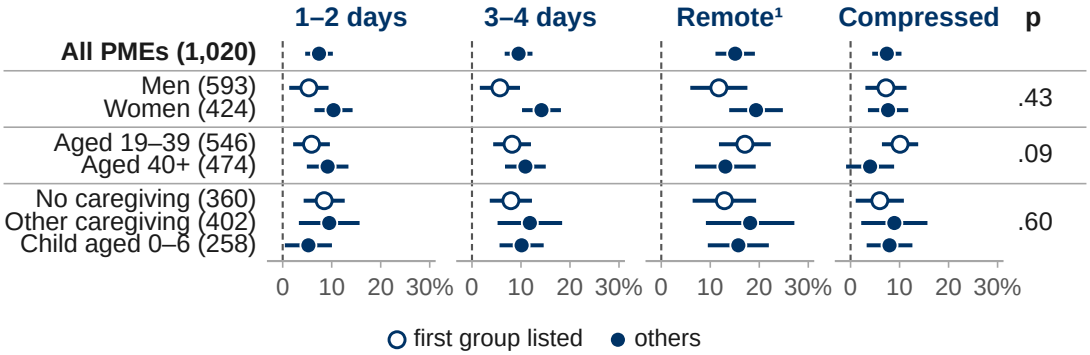
◂ Career concerns ◂ PME groups

Backup index

Backup B24

No group difference established

Pay PMEs would give up, % of monthly pay



Joint tests that all pay values are equal across groups: gender p = .43, age .09, care .66; none of 198 contrasts survives correction. [1]Vs onsite with a long commute; includes the end of commuting. Detail: gender, age, care, role, edu.

PME groups | Career concerns

Backup index

Valued more where offered? Not robust

Arrangement	Offered	Not offered	Difference	Take-up, %
WFH (any level)	valued equally either way (joint p = .84)			87
Staggered hours	≈0	≈−2	n.s. (p = .60)	69
Compressed week	≈15	≈6	+9 (p = .004), *not robust*[1]	31
Compressed, separate slopes[1]	–	–	+5.5 [−4.4, 15.4] (p = .27)	
Job sharing	≈7	≈6	n.s. (p = .82)	27
Part-time	≈15	≈2	+13 (p <.001), *not robust*[2]	26

% of pay, one pay slope for both groups. [1] *Not robust*: the compressed week was usually the cheaper option; with separate pay slopes the gap is not statistically significant. [2] Not re-estimated; part-time was also usually the lower-paid option, so also treated as not robust. Associations, not causes. N = 983 employed PMEs. Take-up = use among those with access. Grey = indicative.

The gap is statistically significant only under a common pay slope. PMEs with access are less pay-sensitive (log-pay coefficient 2.79 vs 4.70); the compressed week was cheaper in 83% of PME pairs. Experience and sorting cannot be told apart.

◂ Puzzle ◂ Groups

Backup index

PME values stay positive

	Main	Excl. outliers	1% trim	Excl. same-side	Position term	Version CI
N	1,020	891	1,007	947	1,020	1,020
1–2 days WFH	≈7.4	≈7.4	≈7.4	≈6.5	≈7.9	5–10
3–4 days WFH	≈9.5	≈10.2	≈9.5	≈9.1	≈10.0	5–14
Fully remote[1]	≈15.1	≈14.8	≈14.9	≈14.8	≈15.8	11–19
Compressed week	≈7.4	≈7.6	≈7.4	≈8.2	≈6.7	4–11
Staggered hours	≈−0.7	≈−0.6	≈−0.8	≈−0.5	≈0.6	−5–3
Job sharing	≈6.0	≈6.3	≈6.3	≈5.5	≈5.9	3–9
Part-time	≈3.9	≈4.9	≈4.2	≈2.9	≈5.1	2–6

% of pay given up. Version CI: 95% CI clustered by survey version. [1]vs onsite with a long commute; includes the end of commuting. Grey = indicative.

Outliers: implausible salaries dropped; same-side: always chose one side. Values stay positive (staggered ≈ 0) and significant at 5%, except part-time without same-side respondents; most move ≈ 1 point (trimming).

◂ Robustness ◂ PMEs

Backup index

Backup B27

Employer values hold in every sample

	Main	Excl. outliers	1% trim	Excl. same-side
N	397	392	391	381
1–2 days WFH	≈19.7	≈19.7	≈20.2	≈18.9
3–4 days WFH	≈35.8	≈35.7	≈36.1	≈35.3
Fully remote	≈48.7	≈48.8	≈49.0	≈47.5
Compressed week	≈7.0	≈7.2	≈6.4	≈4.4
Staggered hours	≈10.0	≈9.2	≈8.9	≈10.5
Reduced load	≈23.6	≈23.6	≈23.5	≈23.4
Part-time	≈35.5	≈35.2	≈34.9	≈34.0

% pay cut employers would require. Outliers: implausible salaries (salary_out) excluded; 1% trim: top and bottom 1% of income dropped; same-side: respondents who always chose one side excluded. Pay gaps shown: 17–33%; larger values extend beyond them. Grey = indicative.

Cuts for 1–2 days, 3–4 days, fully remote and reduced load or part-time stay statistically significant in every sample; the compressed week stays near 7 and is not distinguishable from zero. Moves are ≈ 1 point, up to 2.5 without same-side respondents. Main results use all 397 firms.

◂ Robustness ◂ Employers

Backup index

Backup B28

Why employer % is secondary

	PMEs	Employers
Chose the better-paid option, %[1]	75	58
... by gap tercile (small/mid/large)	74 / 76 / 74	57 / 59 / 57
Log-likelihood: log salary	−3,417.2	−1,526.9
Log-likelihood: which paid more	−3,414.1	−1,527.2
Log salary adds to 'which paid more' (p)	$<.001$	.19
'Which paid more' adds to log salary (p)	$<.001$	.31
Fully remote vs the 17–33% gaps shown	below ($\approx$15[2])	beyond the largest (33%)

Raw shares are flat as other features vary too. Holding them fixed, PMEs respond more to larger pay gaps (p = .014), employers do not (p = .50): employer % magnitudes are weakly identified; PME magnitudes are model-based too. A lower asking salary may also signal quality. [1]PMEs: higher-paid offer; employers: cheaper candidate. [2]PMEs: vs onsite with a long commute. Grey = indicative.

Employers' pay-cut sizes rest on a weakly identified pay slope; the ranking is firmer.

◂ Employers

Employer reservations: two preliminary contrasts

Pay cut required, % of pay	Firms	1–2 days	3–4 days	Remote	Compressed
Do most PME roles need on-site presence? p = .025, q = .14					
Yes, most roles	137	**52**	60	67	1
Only some or few	260	**3**	25	40	8
Worried that creativity suffers when people are apart? p = .14, q = .43					
Yes	201	24	44	**61**	18
No	196	15	28	**36**	−3

- **The presence contrast is significant at the 5% level** (p = .025) but not after correcting for the 11 split tests (q = .14); the creativity contrast is not (p = .14).
- **Asked after the choices:** the answers may partly rationalise the hiring choices.
- **Separate pay slope for each group:** values are group-specific, so they are preliminary associations.

Pay cut employers would require of a candidate wanting the arrangement, % of pay (minus the model's WTP). p: test that the three location values are equal across the two groups; q: Benjamini–Hochberg over 11 split tests. Many values go beyond the pay gaps shown (17–33%): read the contrasts, not the sizes. All split tests.

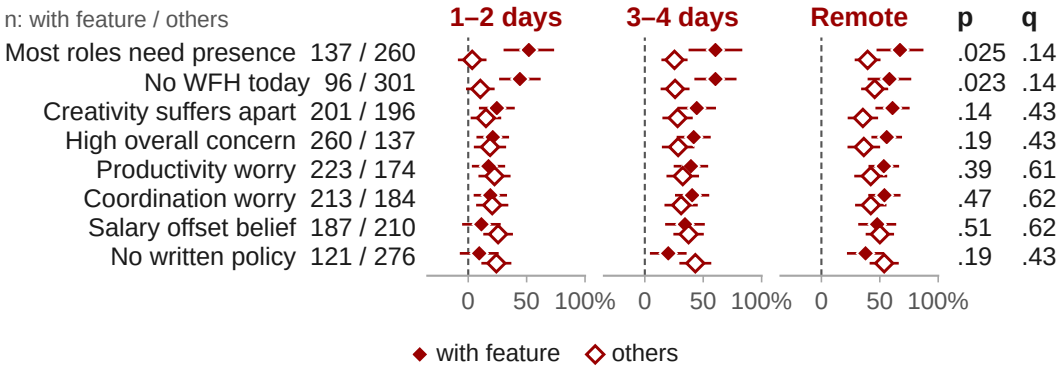
◂ Reservations

Backup index

Backup B30

All employer splits

Pay cut employers would require, % of pay



Pay cut required, 95% CI. Presence and no WFH today: p ≈ .02 each, q = .14 over all 11 split tests; creativity p = .14, q = .43. Preliminary: asked after the choices. Salary offset: agrees that offering FWAs reduces the salary needed to attract and retain PMEs (survey item).

Reservations

Concerns are common; creativity tracks choices

Employer view (agree = 4–5 of 5)	Agree, %	Linked to WFH choice? (p)	Reading
Worry staff are less productive at home	56	.40	No detectable link
Hybrid creates coordination problems	54	.48	No detectable link
Creativity suffers when people are apart	51	.068	Weak link: agreeing firms require a 61% vs 36% pay cut for remote
High overall concern (index $>$ 3)	65	.36[1]	No detectable link

p: joint test that agreeing firms choose WFH levels differently (creativity: n = 201 vs 196; q = .43 across the 11 employer split tests, so not significant after correction). [1]Mean of the three items; as a continuous index, p = .089. 75% agree with at least one. Associations, not causes.

Agree = 4–5 of 5. p: joint WFH test, one pay slope. Preliminary associations: items asked after the choices. Perceived vs true cost: not separable.

Reservations

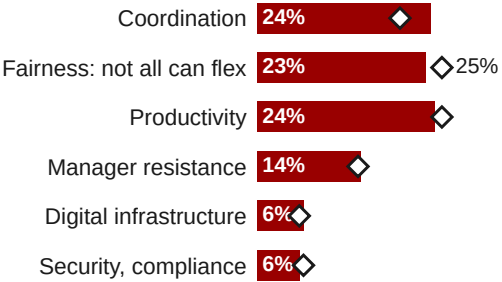
Backup index

Backup B32

Employers: talent upside, practical hurdles

Biggest FWA challenge

% of employers ◇ ≤200 staff (n = 175)



Other: 3%.

FWAs help attract, retain talent (agree)

66%

Unfair if frontline can't have FWAs (agree)

46%

Hard to fill PME vacancies (past year)

52%

12-month FWA plan — reduce 11% · unsure 6%

Expand 26% | Maintain 57%

Tech-ready for remote work — not ready 7%

Fully 40% | Partly 53%

We detect no size association in hiring choices; compressed-week offering rises with firm size (14, 18, 26%; p = .07). MOM (PQ, 10 Sep 2026): in 2025, nearly 7 in 10 SMEs and about 8 in 10 non-SMEs offered a scheduled FWA; definitions differ, so not comparable with the 66.4% series.

◂ Employers ◂ Reservations

Backup index

Backup B33

Why we show no industry estimates

- Industry cells hold 4 to 60 employers (11 of 17 below 25); some intervals are wider than the scale.
- Four largest industries (ICT, finance, manufacturing, professional services): we detect no difference in WFH valuations ($p = .94$).
- Reservations are associated with role needs and concerns (presence; creativity), as preliminary associations under a common pay-slope model; industry differences cannot be ruled out.

Industry mix: Industries.

◂ Reservations

Backup index

Backup B34

Raw choices, before any model

	PMEs: flexible job		Employers: flexible hire	
% choosing it (n)	**paid less**	**paid more**	**cheaper**	**dearer**
1–2 days WFH	27 (350)	88 (170)	48 (172)	34 (90)
3–4 days WFH	23 (407)	81 (167)	39 (152)	30 (73)
Fully remote	43 (320)	80 (116)	39 (110)	8 (37)
Staggered hours	22 (921)	76 (334)	61 (315)	–
Compressed week	24 (768)	87 (122)	60 (209)	37 (41)
Reduced load / job sharing	25 (641)	80 (458)	58 (239)	32 (145)
Part-time	28 (691)	80 (223)	40 (233)	24 (164)
Chose the better-paid option[1]	75 (6,120)		58 (2,382)	
Better on both other features, paid less	28 (2,563)		–	

Arrangement vs its base (onsite, fixed hours or full-time). Pay differed by 17–33%; one other feature also varied.
[1] PMEs: higher-paid offer; employers: cheaper candidate. – = not in the design.

Raw choice shares; the other attribute varies and cells are fixed by version: read as direction.

◂ Two sides ◂ Employers

Backup index

Backup B35

Compressed week: design balance, offering, use

Design: usually the cheaper option

The lower-paid option in 83% of PME and 91% of employer pairs.

% chosen if	cheaper	dearer
PMEs: compressed	27.5	85.5
PMEs: others	24.9	75.1
Firms: compressed	67	37[c]
Firms: others	56	44

PMEs: consistent with a positive value at either price. **Firms:** mixed; "no detectable penalty" rests mainly on cheaper candidates.

Operating costs unmeasured: pilot checklist.

Surveyed firms offering it (70 of 397)

Trait	% offer	OR [95% CI]
Written policy	21.4 vs 9.1	**2.41** [1.20, 4.87]
Offers part-time[a]		**3.03** [1.67, 5.51]
Presence need		1.53 [0.88, 2.66]
Fully tech-ready		0.83 [0.48, 1.43]
Productivity concern[b]		1.61 [0.77, 3.37]
Hard to hire	18.4 vs 16.8	p = .69
Size: ≤200 / 201–1,000 / 1,001+	13.7 / 17.9 / 25.6	p = .066

Surveyed PMEs: access 21%; take-up 31%; career concern OR 0.86 [0.44, 1.67].

Logit on size, WFH now, policy, tech, presence (N = 397); ORs are not risk ratios; policy may follow offering. [a]With other offerings (policy OR 2.16 [1.04, 4.49]). [b]With concerns, talent view, hiring, turnover: ORs 0.75–1.61, p ≥ .16. [c]41 pairs.

◂ Compressed week ◂ Zones

Backup index

A compressed-week pilot: checklist

Design

- Same hours, four longer days; pay and leave unchanged
- Legal, contract and collective-agreement review
- Voluntary for firms and staff; reversible without penalty
- Eligibility; fairness to staff who cannot join

Safeguards

- Service and coverage plan
- Fatigue, safety and care hours
- Workload spillovers
- Appraisal by output, not presence

Evaluation

- Outcomes: output, operating costs, coverage, retention, take-up, worker experience
- Stop and scale criteria agreed with the partners in advance
- Independent evaluation with a comparison group; worker data only with consent, never for appraisal
- Publication rule: [PI to confirm]

Why a pilot: most promising common-ground test; evidence moderate; operating costs unmeasured.

To agree: number of firms, duration, comparison group, funder, data access, report-back date.

Possible leads: SNEF with volunteer firms; NTUC co-designs safeguards; TAFEP guidance.

Both surveys: the same total hours over fewer, longer days. The hiring choices did not record rostering, coverage or fatigue.

◂ Compressed week ◂ Options

Backup index

Backup B37

Flexi-load: mostly pay for hours

Model-dependent; not a pay recommendation and not a main finding.

	Reduced load / job sharing[1]	Part-time
PMEs: pay given up, % of pay (95% CI)	≈6 (3–9)	≈4 (1–7)
Employers: pay cut required, %	≈24	36
Gap, % of pay	≈18	≈32
Employed PMEs using it, %	6	4
Take-up with access, %[2]	27	26

Hours change while pay is per month, so these values are mostly pay for hours (employers' cuts ≈ pro-rata), not a flexibility premium. [1]Employers saw "reduced load", PMEs "job sharing". [2]Among employed PMEs with access. Grey = indicative.

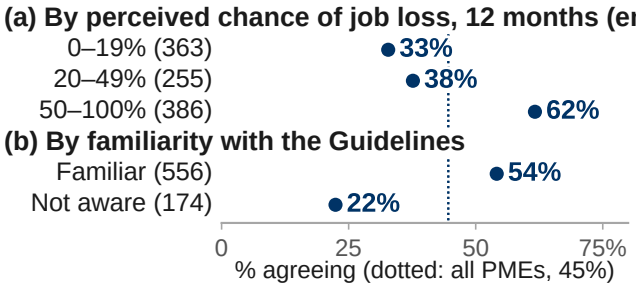
4 of 5 days = 20% fewer hours, so employer discounts near pro-rata show no sign of an extra flexibility penalty. Part-time draws a larger required cut (about 36%) because it cuts more hours. MOM is reviewing the PTRG for flexi-load (COS 2026); part-time context.

◂ Options ◂ Reservations

Backup index

Backup B38

Who expects a career penalty?



(c) Formal request reported (employed, aware)

Expecting a penalty is associated with **+15 pp [9, 20]** after controls.

Full approval: no detectable difference (p = .44).

(c) Request item partly misread; asking may shape the belief.

Job-loss chance: a relative index, not a probability. Associations, not causes.
(b) Gap about halves with formal requests held fixed.

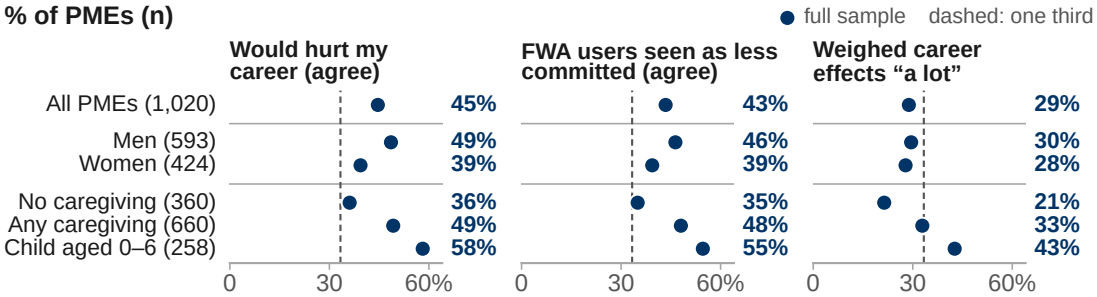
Parents of 0–6s: +12 pp after controls (p = .001). **MOM:** about 6% of resident FWA users reported a setback in 2025 (reported experience, not expectation).

Agree (4–5 of 5) that shorter or more flexible hours would hurt their career: 45% of surveyed PMEs. Job loss: self-rated 12-month chance. MOM PQ 2936 (9 Sep 2026); not comparable. Chart.

◂ Barriers ◂ Career concerns

Backup index

Over a third of surveyed PMEs expect a career penalty



Career item, adjusted: child 0–6 +12 pp (p = .001), any caregiving +9 pp (p = .01).
Other gaps not tested. PAP–NTUC survey (Nov–Dec 2025): 36% named stigma their primary concern.

Agree = 4–5 of 5: an expected penalty, not a reported setback. PAP–NTUC survey: all workers, not PMEs. Who expects it.

◂ Barriers ◂ Why PMEs

Backup index

Backup B40

What we can say about the Guidelines

What we observe (2026)

- Familiar: 55% of surveyed PMEs, 29% of juniors, 58% of employers
- Of PMEs reporting a formal request, 4% were declined (7%, stricter definition): a lower bound
- More FWAs came via company policy (43%) than individual request (30%)
- Aware firms with a written policy got more requests (68% vs 19%; an association)

What we cannot say

- Whether the Guidelines changed outcomes (no before-and-after)
- National rates (unweighted panels)
- Why PMEs do not ask (not asked)
- How firms decide staff requests (experiment: hiring)

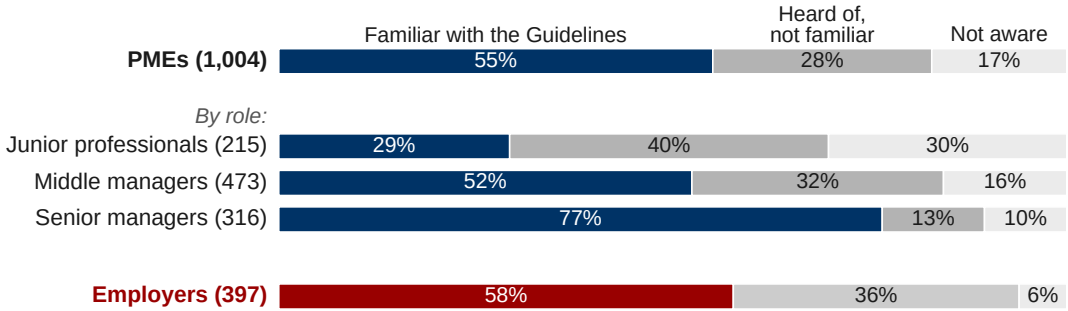
See two views, table, awareness.

◂ Barriers

Backup index

Backup B41

Awareness is wide but shallow



PMEs: employed (n). Unweighted.
PAP–NTUC survey's 58% aware: not comparable.

PAP Women's Wing–NTUC survey (online, Nov–Dec 2025; sampling not published): 58% aware; 29% know where to turn if a request is denied or mishandled.

Barriers

Same process, two vantage points

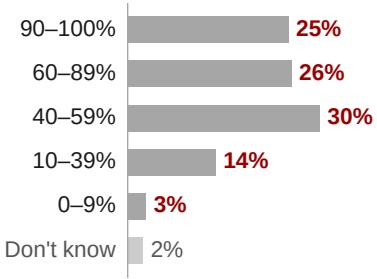
PMEs reporting a formal request

Reported outcome, %



Employers: share of requests approved

(n = 203)



Unweighted.

MOM, for comparison (definitions differ): ≈94% approved (2024 data, almost entirely before the Guidelines). After use, ≈6% of resident FWA users reported a career setback (2025): experience, not PMEs' expectation.

Different questions: PMEs report their own request; employers, their firm's approval share. Gaps may reflect partial approvals, firm vs individual rates, or managers' partial view.

Barriers

Backup index

Request outcomes in detail

PMEs' own request (n = 547)	%	Employers: share of requests approved (n = 203)	%
Fully approved	64	Nearly all (90–100%)	25
Partially approved	32	Most (60–89%)	26
Declined	4.4	About half (40–59%)	30
Declined, excl. automatic FWAs[1]	6.9	Some (10–39%)	14
		Few (0–9%)	3
		Don't know	2

Different questions: PMEs report their own request; employers, the share of all requests approved (partial approvals, firm-wide rates and managers' partial view may explain why). MOM's survey for 2024 also finds most requests approved (populations and definitions differ). Both concern existing staff, not hiring. [1]Excl. PMEs whose FWA applies automatically by company policy (base n = 317): the declined share is likely a lower bound.

Many PMEs with automatic FWAs reported a formal request (why); both sides cover only requests made. MOM comparators: two views.

◂ Barriers

Backup index

Backup B44

Why no headline request rate

Base	n	Made a formal request, %
Employed and aware of the Guidelines	832	65.7
All employed (not aware = no request)	1,004	54.5
FWA automatic by company policy	318	72.3

Most PMEs whose FWA came automatically by company policy also said they made a formal request, so the share is not headlined.

The item left “formal” undefined, with no “automatic” option. MOM (2024 data): 18.5% of employees who needed an FWA made a formal request.

◂ Barriers

Backup index

Backup B45

Limits in detail

Limit	What it means	Next step
Pay gaps 17–33%	% of pay is model-based; employers weakly pay-sensitive (cheaper won 58%)	A small-gap wave
60 design cells	10 versions $\times$ 6 tasks per side: intervals likely too narrow	Cluster by version
Compressed week	Cheaper in 83% (PME) and 91% (employer) of its pairs	Balance pay positions
Employer splits	Preliminary associations, asked after the choices	Ask these items before the choices
Employer task	A hire, not a staff request; not an operating cost	Pilots that record operations
Samples	Unweighted panels, mostly large firms	Items in MOM surveys
Request item	Misread; refusals among askers only; no why-not item	Option D items

Also: stated choices (SNEF use known); no before-and-after; 12% of salaries capped; task-1 coding. Choice results hold without outliers or same-side respondents. Next steps.

◂ Limits ◂ Robustness

Backup index

Sharpening the evidence

Before publication

- Employer role and concern items asked before the choices
- Add a position term; fix early task-1 coding
- Cluster by survey version; wild bootstrap
- Log vs rank salary models
- Code open-text comments (68% of PMEs, 58% of employers wrote one)

A follow-up wave, if supported

- Small pay gaps (0–15%) for precise prices
- Balance the compressed week across pay positions
- Ask why people do not request; reword the request item, with partial approval
- Information module (trial evidence; Guidelines; career outcomes)
- One short survey of the 490 PMEs (48%) who agreed; more needs fresh consent (follow-up)

◂ Limits ◂ Options

Backup index

Backup B47

Follow-up design, if supported

	Aim 1: do stated choices predict behaviour?	Aim 2: what changes in firms that adopt?
Outcomes	FWA take-up, job moves, promotion, appraisal vs each PME's choices	Productivity, retention, hires, exits in volunteer pilot firms (Option A or C), vs a comparison group
Consent now	490 of 1,020 PMEs (48%) agreed to one short (about 5-minute) survey in 6–12 months (Feb–Aug 2027)	None: the employer survey asked no re-contact question
Partner roles	**NTUC:** reach members beyond online panels; **MOM:** linkage only with fresh consent, under its data rules	**SNEF:** recruit fresh volunteer member firms; **MOM:** firm linkage only with consent
Templates	Maestas et al.: 56% matched up to 3 years later (validity)	Trip.com hybrid trial: quits fell 7.20% to 4.80%; German LPP: consented employer–employee linkage, six waves 2012–2024

Consent scope: 490 PMEs consented to one short survey in 6–12 months; further waves, linkage and firm-side work require fresh consent.

Data owner, funder and publication: [PI to confirm] (governance).

Consenters lean to caregivers (52.6% vs 39.7% agreed).

Conclusion

Backup index

Backup B48

Option A: put compressed weeks on the menu and test them

Zone: A, common ground **Strength:** moderate; operating costs unmeasured

The evidence

PMEs would give up about 7% of pay for it; employers would require about 7% (wide interval): no detectable gap. 1 surveyed firm in 6 offers it, more often with a written policy (21% vs 9%). It was the cheaper option in 83% (PME) and 91% (employer) of its pairs.

Owner and first step

SNEF, with volunteer member firms: put it on the written menu and test it in a bounded, evaluated pilot (checklist). **NTUC:** co-design safeguards. **TAFEP:** guidance.

Builds on

TAFEP and IHRP resources; SNEF guidance on FWA requests.

What it is not

Not shorter hours (same hours, four longer days), a mandate or a case for lower pay; not shown to be costless.

What to watch

Output, coverage, rostering, fatigue; take-up where available (31%).

Associations, not causes: a policy may follow offering. Hiring choices do not measure operating costs.

◂ Options ◂ Puzzle

Backup index

Option B: fit arrangements to the role, with flexi-load

Zone: B, depends on the role **Strength:** moderate; preliminary associations

The evidence

Where most roles need presence, firms would require a pay cut of about 52% for 1–2 WFH days (3% elsewhere), against about 1% for a compressed week. Presence: p = .025 (q = .14 over 11 split tests; preliminary).

Owner and first step

Firms, with SNEF: review which tasks need presence; a compressed week may fit where WFH does not; use flexi-load where fewer hours, not location, address the need. Job Redesign+: up to 70% of qualifying costs for SMEs, 50% for others. **MOM:** PTRG review.

Builds on

EWTP (Mar 2026), linked by MOM to FWAs.

What it is not

Not one-size-fits-all; not a quota.

What to watch

Fairness to staff without FWAs (top challenge, $\leq$200 staff); part-time access (COS 2026: under half who needed it got it).

Associations; asked after the choices. Flexi-load.

◂ Options ◂ Reservations

Backup index

Backup B50

Option C: a 3–4-day WFH pilot where roles allow

Zone: C, far apart **Strength:** exploratory

The evidence

Employers would require pay cuts of about 36% for 3–4 WFH days and 49% for fully remote work (PMEs would give up 10% and 15%). Fully remote draws about 61% where firms worry that creativity suffers apart, against 36% elsewhere (a weak association, $p = .14$; preliminary). Abroad, a six-month hybrid trial cut quits by a third.

Owner and first step

Volunteer firms, with SNEF and NTUC: a 3–4-day WFH pilot in roles without presence needs; outcomes agreed upfront; independent evaluation; stop criteria set in advance. Convenor, funding and publication rule: for the partners.

Builds on

Trials abroad (managers' productivity view: −2.6% to +1.0%).

What it is not

Not a push for fully remote work (mixed evidence; some studies find lower productivity); not a mandate; no pay change.

What to watch

Output, retention, collaboration; whether managers' concerns are borne out.

Bloom, Han & Liang (2024); Barrero, Bloom & Davis (2023); Emanuel & Harrington (2024).

◂ Options ◂ Two sides

Backup index

Backup B51

Option D: why-not-request and partial-approval items

Zone: all (measurement) **Strength:** gap documented

The evidence

Firms need not report requests to MOM; in MOM's survey, 18.5% of those needing an FWA made a formal request (data for 2024). MOM publishes request rates, not reasons; our survey had no why-not item, and our request item was partly misread. Of PMEs reporting a request, about 4% were declined (a lower bound) and 32% partly approved. 45% expect a career penalty; it goes with more requests, not fewer.

Owner and first step

MOM (MRSD), with NTUC and SNEF: check its survey, then add the items not yet asked: why those who need an FWA do not ask, and whether a request was approved in full, with changes, or declined (draft).

Surveyed samples, unweighted.

Builds on

MOM's employee survey; partners' outreach channels.

What it is not

Not a new reporting duty for firms; not an evaluation of the Guidelines.

What to watch

Partial approvals; junior PMEs' awareness (29% familiar); expected penalty vs MOM's reported setbacks ($\approx$6% of FWA users, 2025).

◂ Options ◂ Barriers

Backup index

Backup B52

Option D: draft survey items

First step (employees)

1. **Why not ask:** if you needed an FWA but did not request one, why not? (career concern; did not know how; expected refusal; automatic)
2. **Outcome:** approved as requested / with changes / declined.

Also (employees)

3. Formal request: add “applies automatically”.
4. Guidelines awareness; would flexible work affect your career?

Later, if partners agree (establishments)

5. Any formal FWA request in the past 12 months?
6. Share approved as requested, with changes, or declined?
7. Roles needing on-site presence: which arrangements are offered?

Draft for MRSD, to check against EWC and CoE questionnaires; item 1 appears new. Employee items first; any establishment items would sit in existing MOM surveys, for the partners to decide. Option D.

◂ Options ◂ Conclusion

Backup index

Technical: all 11 employer split tests

Split	Firms	p	q
No WFH now	96 / 301	.023	.14
Presence need	137 / 260	.025	.14
Creativity concern	201 / 196	.14	.43
Concern index	260 / 137	.19	.43
Written policy	276 / 121	.19	.43
Hiring role (3 groups)	84 / 122 / 170	.36	.61
Productivity concern	223 / 174	.39	.61
Coordination concern	213 / 184	.47	.62
Salary offset	187 / 210	.51	.62
Firm size (3 bands)	175 / 140 / 82	.63	.66
Tech readiness (3 levels)	29 / 209 / 159	.66	.66

Technical appendix, not for projection. p: test that the three location pay-cut values (1–2 days, 3–4 days, fully remote) are equal across the groups, with a separate pay slope per group; q: Benjamini–Hochberg over the 11 tests. Items asked after the choices: preliminary associations.

◂ Reservations

Backup index

Backup B54

Public wording

We say

- PMEs strongly prefer hybrid work: about 7–10% of pay, indicative, never a pay cut.
- Employers would require larger pay cuts than PMEs would give up for most arrangements; for the compressed week the two are about equal.
- Hiring: no detectable gap for a compressed week; fully remote draws the largest cut (a ranking).
- Reservations: 1–2 WFH days where most roles need presence; remote with the creativity concern; preliminary (asked after the choices).
- Compressed week: most promising common-ground test; evidence moderate; operating costs unmeasured.
- Over a third of surveyed PMEs expect a career penalty; refusals are a lower bound.

We avoid

Pay values as a proposed pay cut, or employer cut sizes as a price (read the ranking); a request rate; “easy”, “low cost”, “no cost”, “indifferent”; associations or nulls as causes or proof; Guidelines effects on provision, requests or approvals.

◂ Two sides ◂ Conclusion

Backup index

Backup B55

Employer % of salary

Model-dependent; not a pay recommendation and not a main finding.

Candidate (vs base)	Pay cut, %	95% CI	Status
1–2 days WFH (onsite)	20	10 to 30	Direction robust
3–4 days WFH (onsite)	36	26 to 46	
Fully remote (onsite)	49	39 to 58	
Staggered hours (fixed hours)	10	0 to 20	*not robust* (version clusters)
Compressed week (fixed hours)	7	−5 to 19	No detectable reservation; mostly the cheaper candidate
4-day reduced load (full-time)	24	15 to 32	≈ pro-rata for fewer hours
Part-time (full-time)	36	27 to 44	≈ pro-rata for fewer hours
High turnover risk >20% (<10%)	31	21 to 42	Benchmark
Moderate turnover risk 10–20% (<10%)	5	−5 to 15	Robust: no detectable reservation

Pay cut at which the model predicts a 50:50 hiring choice (positive = cut required). Weakly identified: a cheaper-candidate indicator fits as well as log salary (why). Pay gaps shown: 17–33%; larger values extend beyond them. Grey = indicative.

Firmer result: the ranking of the pay cuts.

◂ Employers

Backup index

Backup B56

Gap, % of pay: indicative

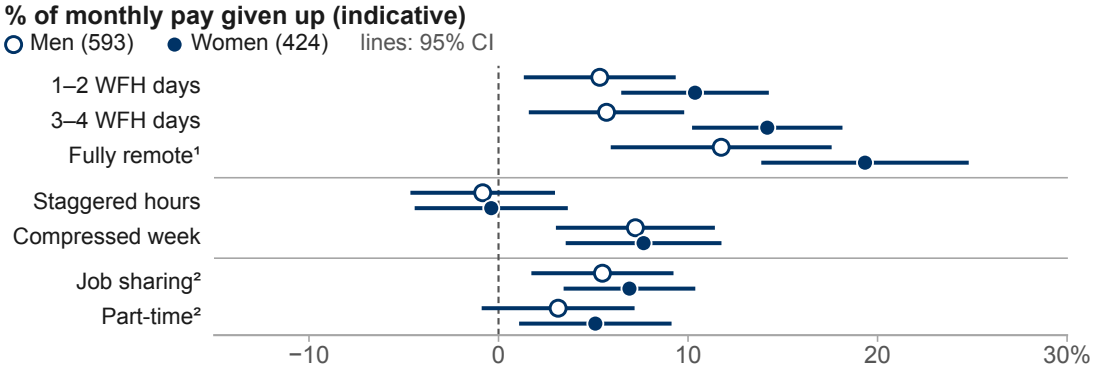
Model-dependent; not a pay recommendation and not a main finding.

Arrangement	PMEs give up, %	Employers require, %	Gap, points	Zone
Compressed week	7 [4, 10]	7 [−5, 19]	0 [−13, 12], n.s.	A: common ground
1–2 days WFH	7 [5, 10]	20 [10, 30]	12 [2, 23]	B: depends on the role
3–4 days WFH	10 [7, 12]	36 [26, 46]	26 [16, 37]	C: far apart
Fully remote[1]	15 [11, 19]	49 [39, 58]	34 [23, 44]	C: far apart
Staggered hours	−1 [−3, 2]	10 [0, 20]	11 [0, 21]	Little at stake
Job sharing / reduced load[2]	6 [3, 9]	24 [15, 32]	18 [9, 26]	Pay for hours
Part-time[2]	4 [1, 7]	36 [27, 44]	32 [23, 40]	Pay for hours

Zones are descriptive; numbers are indicative. % of pay, 95% CI. Gap = employers' cut minus PMEs' give-up (positive = friction). Employer values above 33 go beyond the pay gaps shown. n.s. = not significant at 5%. [1]PMEs: vs onsite with a long commute; includes the end of commuting. [2]Mostly pay for fewer hours. Grey = indicative.

Two sides

Estimates by gender

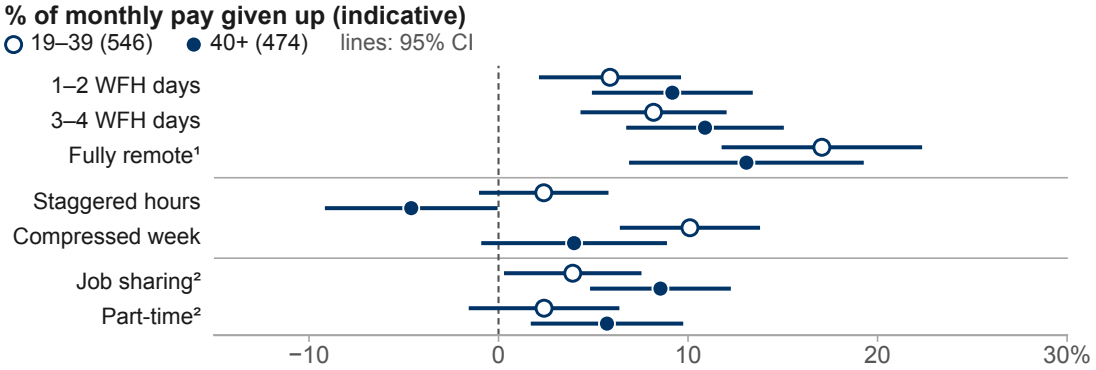


¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

No statistically significant gender difference (joint test p = .43). All groups.

PME groups

Estimates by age



¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

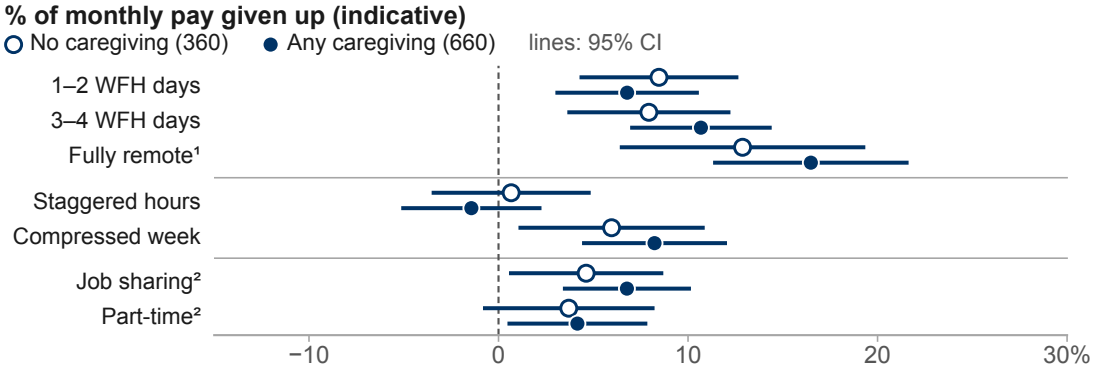
Ages 19–39 vs 40+; not statistically significant (joint test p = .09). All groups.

PME groups

Backup index

Backup B59

Estimates by caregiving

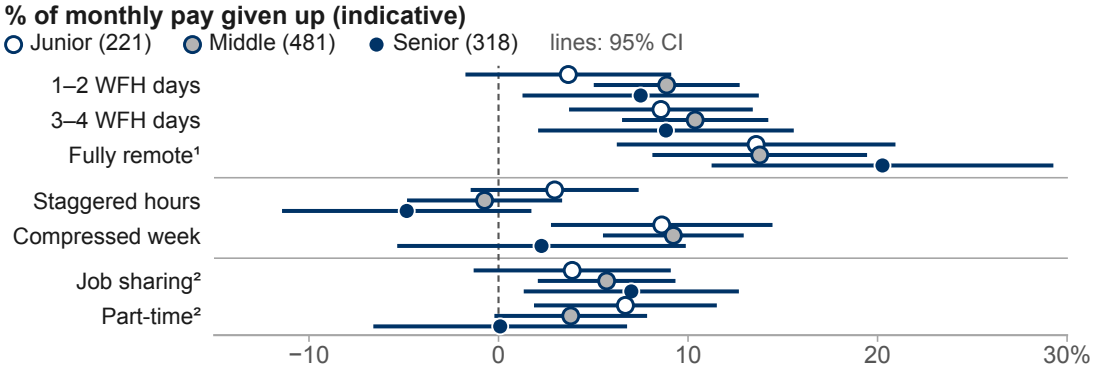


¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

No caregiving vs any; not statistically significant (p = .66). All groups.

PME groups

Estimates by role level

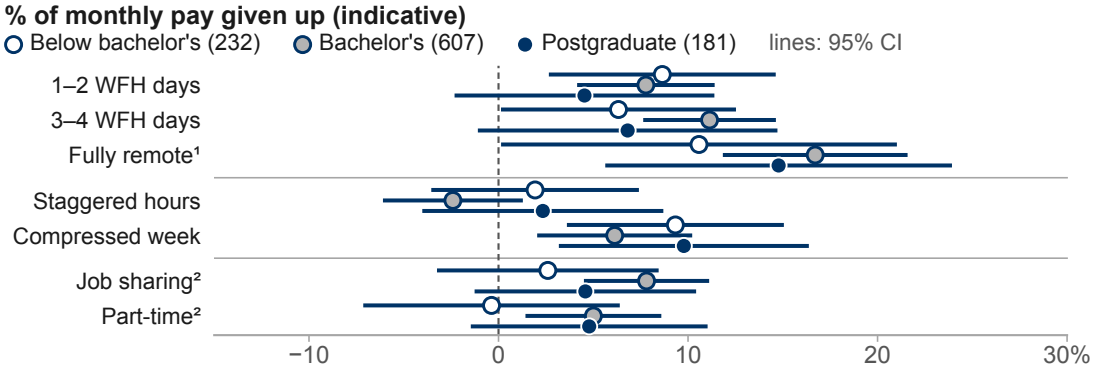


¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

Junior, middle and senior; not statistically significant (p = .15). All groups.

PME groups

Estimates by education



¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

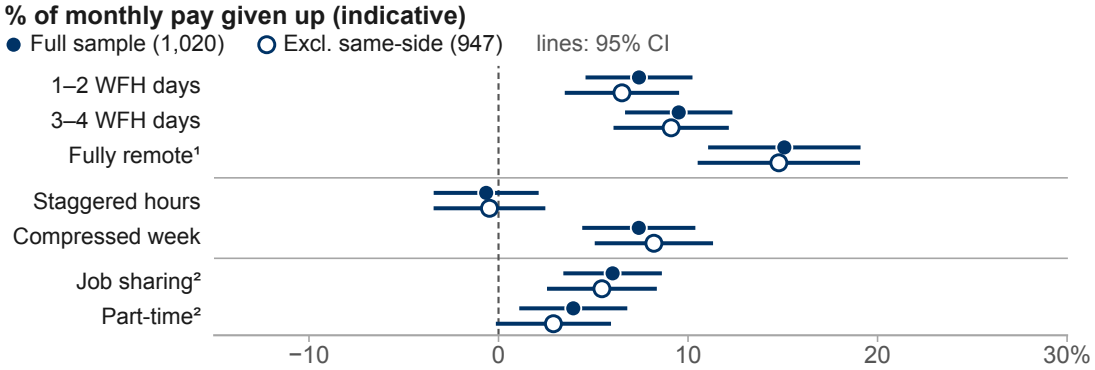
Three education levels; not statistically significant (p = .56). All groups.

PME groups

Backup index

Backup B62

Without same-side respondents

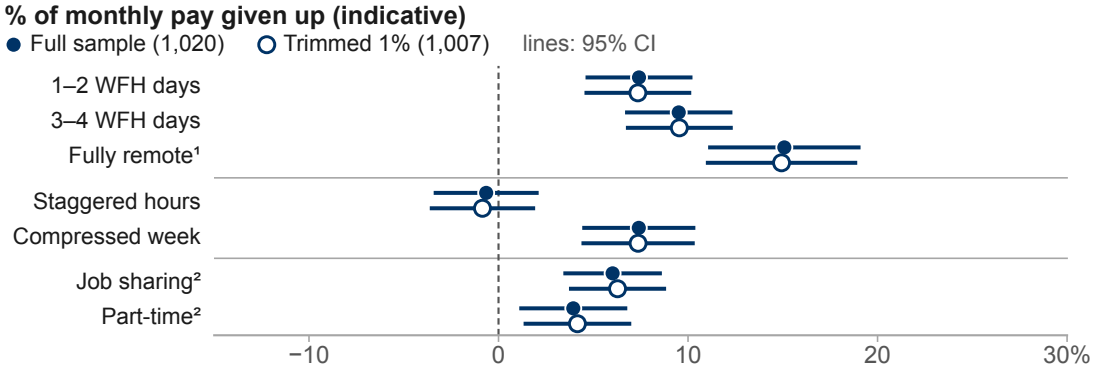


¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

Drops 73 PMEs who always picked one side; location and compressed-week values move ≤1 point. PME checks.

Robustness

Trimming extreme salaries



¹ vs onsite, >45 min commute. ² Fewer hours, same monthly pay. Base: onsite, fixed hours, full-time.

Drops the top and bottom 1% of salaries. PME checks.

Robustness

Backup index

Backup B64